

FIRST QUALITY KNITSS
- A DIVISION OF NECTAR CRAFTS



ETHICAL CONDUCT POLICY

📍 SF. No.87, Konakkadu Thottam, Arivoli Nagar, Naranapuram
Post, Palladam Taluk- 641664, Tiruppur, Tamil nadu, India

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INTRODUCTION

First Quality Knitss is committed to conducting its business with the highest standards of integrity, transparency, and accountability. Ethical conduct is fundamental to our operations and guides every decision, action, and interaction across all levels of the organization.

This Ethical Conduct Policy reflects our commitment to upholding strong ethical values in all aspects of our business, whether in our relationships with employees, customers, suppliers, or the broader community. We strive to foster a culture of honesty, fairness, and mutual respect, while ensuring full compliance with applicable laws, regulations, and internal codes of conduct.

The policy outlines clear expectations for all stakeholders to act responsibly, avoid conflicts of interest, protect company assets, and contribute to maintaining the reputation of First Quality Knitss as a reliable, ethical, and socially responsible organization.

SCOPE

This policy applies to all employees, management, contractors, and third-party partners of First Quality Knitss across below given operational locations. It governs ethical behavior in all business activities and interactions, ensuring consistent standards of integrity and accountability throughout the organization and among any individuals or entities acting on its behalf.

Sr. No.	Site	Address
1	First Quality Knitss	SF. No.87, Konakkadu Thottam, Arivoli Nagar, Naranapuram Post, Palladam Taluk- 641664, Tiruppur, Tamil Nadu, India

POLICY DECLARATION

At First Quality Knitss, we are committed to upholding the highest standards of ethical behavior, integrity, and compliance in all our business operations. All employees, management, and business partners are expected to avoid conflicts of interest, and must not engage in bribery, corruption, or fraudulent practices. Company resources must be used responsibly, and confidentiality must be maintained at all times. All actions should comply with applicable laws and internal policies. A safe, confidential, and retaliation-free channel is available for reporting unethical behavior, reinforcing our commitment to transparency, accountability, and an ethical workplace culture.



KEY FOCUS AREAS

- **Integrity in Business Practices:** Promote transparency, accountability, and adherence to ethical standards in all internal and external business activities.
- **Prevention of Corruption:** Maintain a zero-tolerance policy toward bribery, kickbacks, and undue influence, ensuring full compliance with anti-corruption laws.
- **Conflict of Interest Management:** Require prompt disclosure of any personal or professional interests that could compromise objective decision-making.
- **Fraud Prevention and Detection:** Strengthen internal controls, conduct regular audits, and encourage whistleblower reporting to prevent and detect fraudulent activities.
- **Anti-Money Laundering Measures:** Conduct due diligence on financial transactions and third-party engagements to prevent money laundering and ensure financial integrity.
- **Upholding Fair Competition:** Comply with applicable antitrust and competition laws, avoid unfair trade practices, and support a fair, ethical marketplace.
- **Responsible Information Handling:** Protect sensitive company, employee, and client data through secure and ethical data management and communication practices.
- **Transparency in Recordkeeping:** Maintain accurate, honest, and timely financial and operational records to uphold legal compliance and ethical accountability.

OBJECTIVES AND TARGETS

The year 2022 serves as the baseline for all ethical governance targets at First Quality Knitss, including those related to business integrity, anti-corruption, conflict of interest, fraud prevention, and anti-money laundering. Progress will be measured against this baseline to ensure continuous improvement through years with the targets set for year 2027.

1. Integrity in Business Practices

- Maintain a culture of ethical decision-making at all organizational levels and ensure consistency in applying ethical standards in all internal and external operations.
- Conduct annual ethics training for 100% of employees in key functions.
- Conduct an internal ethics audit across 100% departments by year 2027.
- Integrate ethical conduct metrics in 100% of employee performance reviews by year 2027.

2. Prevention of Corruption

- Maintain a zero-tolerance policy for bribery and corruption and ensure strict compliance with anti-corruption laws and company policies.



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- Maintain inclusion and compliance of anti-bribery clauses into 100% of supplier and partner contracts by year 2027.
- Train 100% of procurement and finance teams on anti-corruption policies annually.
- Maintain zero instances of corruption reported in annual audits.

3. Conflict of Interest Management

- Maintain a transparent work culture where employees are encouraged to avoid personal interests that may conflict with business decisions.
- Implement clear procedures for identifying and addressing conflicts of interest in an impartial manner.
- Ensure 100% of new hires complete conflict-of-interest training within their first week of onboarding.
- Achieve 100% annual completion of conflict-of-interest disclosures by all managerial staff by year 2027.

4. Fraud Prevention and Detection

- Provide regular training to all employees on fraud awareness, prevention, and reporting mechanisms.
- Strengthen internal controls and awareness through routine monitoring and risk assessments.
- Conduct annual fraud risk assessments across all departments.
- Maintain zero cases of fraud reported each year.
- Implement fraud detection systems across key operations to ensure zero undetected fraudulent activities till year 2027.

5. Anti-Money Laundering Measures

- Regularly monitor and audit financial transactions to detect any suspicious activity
- Maintain zero number of false positive alerts in AML monitoring systems by year 2027.
- Screen 100% of high-risk third parties annually using AML compliance checks.
- Train 100% of finance and legal staff on AML procedures annually.

6. Upholding Fair Competition

- Ensure compliance with fair competition and antitrust laws and hence promote transparency and fairness in all market dealings.
- Conduct annual fair competition training for 100% of sales and marketing teams.
- Maintain zero incidents of regulatory fines or violations related to anti-competitive practices annually.

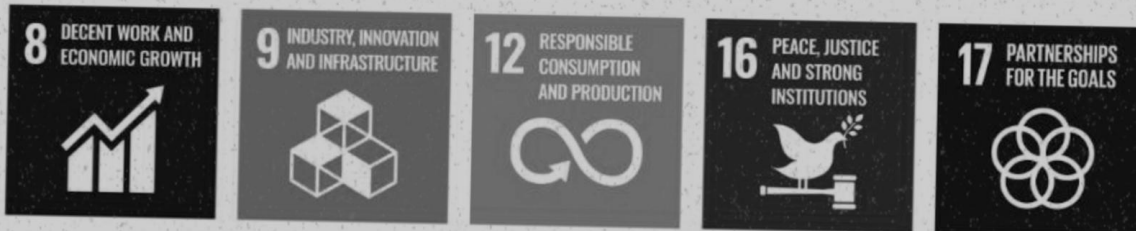
7. Responsible Information Handling

- Protect sensitive business, employee, and client data and hence promote responsible information security, storage, and access control.
- Maintain 100% compliance with internal information security protocols in annual IT audits.
- Train 100% of staff with access to sensitive information on data security annually.
- Maintain the implementation of encryption and other protective measures for 100% of sensitive information by year 2027.
- Implement mandatory password and access reviews every six months for all critical systems.
- Continuously monitor and improve data protection practices to safeguard sensitive information.

8. Transparency in Recordkeeping

- Enable full legal and operational traceability through systematic documentation.
- Maintain the Digitilization for 100% of financial records.
- Train 100% of relevant employees on document retention and compliance annually.

TARGETS IN ALIGNMENT WITH SDGS



EXAMPLES AND GUIDANCE

To support consistent understanding and implementation of this Ethical Conduct Policy, the following topic-wise examples and guidance offer practical interpretations of expectations and actions:

1. Integrity in Business Practices

- **Example:** An employee discovers that a colleague is exaggerating product specifications to secure a client order.



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- **Guidance:** The employee must report the issue to the designated compliance officer. All business actions at First Quality Knitss must be guided by honesty and integrity. Misrepresentation of any kind is strictly prohibited.

2. Prevention of Corruption

- **Example:** A vendor offers a procurement team member expensive gifts in exchange for a favourable contract decision.
- **Guidance:** The team member must decline the offer and immediately report it. Accepting such gifts violates First Quality Knitss' anti-corruption policy. Employees must maintain fairness and transparency in all business interactions.

3. Conflict of Interest Management

- **Example:** A department head is asked to approve a service provider owned by a close relative.
- **Guidance:** The relationship must be disclosed, and the individual must recuse themselves from the decision-making process. Employees must avoid any actions that may lead to personal benefit at the company's expense.

4. Fraud Prevention and Detection

- **Example:** A finance staff member identifies a vendor billing the same invoice twice for payment.
- **Guidance:** The discrepancy must be reported immediately for investigation. All employees at First Quality Knitss are responsible for identifying and reporting suspicious or irregular financial activities.

5. Anti-Money Laundering Measures

- **Example:** A customer proposes breaking up a large transaction into smaller parts to bypass reporting rules.
- **Guidance:** This behavior must be treated as a red flag and reported as per First Quality Knitss' AML procedures. Employees should remain alert to unusual financial activity and follow reporting protocols.



6. Upholding Fair Competition

- **Example:** A marketing executive receives confidential pricing information about a competitor's bid.
- **Guidance:** The information must not be used or shared. First Quality Knitss strictly prohibits anti-competitive behavior and complies fully with fair trade and competition laws.

7. Responsible Information Handling

- **Example:** A team member forgets sensitive customer documents in a shared meeting space.
- **Guidance:** The incident must be reported to IT and the compliance team immediately. Confidential information must always be handled securely and disposed of properly as per company policy.

8. Transparency in Recordkeeping

- **Example:** A supervisor intentionally delays recording a major expense to improve quarterly financial results.
- **Guidance:** All financial records must be accurate and timely. Deliberate misreporting violates First Quality Knitss' recordkeeping policy and can have legal consequences.

CONTINUOUS IMPROVEMENT

At First Quality Knitss, ethical conduct is a living commitment, continually refined to reflect evolving regulations, industry expectations, and emerging risks. A culture of integrity is deeply rooted at every level of the organization, ensuring consistent transparency, accountability, and legal compliance.

- **Regular Training & Awareness:** All employees participate in annual training sessions covering core ethical areas such as anti-corruption, conflicts of interest, fraud prevention, AML, and data security.
- **Risk Assessments & Audits:** Routine internal assessments and independent audits are conducted to identify ethical risks, assess policy effectiveness, and implement corrective measures.
- **Industry Collaboration:** Engagement in industry forums and regulatory initiatives helps align company practices with evolving ethical standards and global best practices.



- **Technology-Driven Monitoring:** Digital systems are used for automated compliance monitoring, fraud detection, and secure reporting to strengthen governance and response mechanisms.
- **Open Feedback Culture:** Employees and stakeholders are encouraged to share concerns and suggestions through accessible feedback channels, supporting a transparent and ethically sound workplace.

ADDRESSING POLICY VIOLATIONS

First Quality Knitss maintains a zero-tolerance stance on all forms of ethical misconduct, including corruption, conflicts of interest, fraud, money laundering, and data breaches. Any confirmed violations are met with strict and proportionate disciplinary measures to uphold ethical standards.

1. Reporting Mechanism

- Employees, suppliers, and external stakeholders are encouraged to report suspected violations through a secure and confidential whistleblower system that guarantees anonymity and protection against retaliation.
- All reported concerns are treated with the utmost confidentiality and addressed through prompt and thorough investigation.

2. Investigation & Disciplinary Actions

- Investigations are led by the Compliance Officer, with support from internal teams or external experts as needed.
- Confirmed violations may result in disciplinary actions such as warnings, suspension, termination, or legal action.
- Suppliers found in violation of ethical standards may face contract suspension, financial penalties, or disqualification from future engagements.

3. Corrective & Preventive Actions

- Following any ethical breach, corrective actions such as policy updates, enhanced controls, or targeted training are implemented to prevent recurrence.
- Insights gained from incidents are integrated into risk assessments and policy reviews, contributing to stronger ethical governance and resilience.



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RESPONSIBILITIES

- **Compliance Officer:** Ensures implementation of ethical policies and compliance with anti-corruption, conflict of interest, fraud, and information security standards.
- **HR Manager:** Oversees employee training on ethical conduct, including anti-corruption and conflict-of-interest policies.
- **IT Manager:** Safeguards company and customer data through secure information systems.
- **Internal Audit Team:** Conducts audits to assess policy compliance and identify risks.
- **Senior Management:** Reviews ethical performance, allocates resources, and promotes a culture of integrity.

REVIEW MECHANISM

The Ethical Conduct Policy is reviewed annually to ensure it remains relevant, effective, and aligned with applicable legal and regulatory standards. The review process is led by the Compliance Officer, in coordination with the Internal Audit Team and Human Resources.

Revisions may be made in response to audit outcomes, regulatory updates, employee feedback, or changes in business operations. All updates are communicated clearly across the organization, and necessary training is provided to ensure understanding and continued compliance by all employees.

Effective Date: 01.01.2025

Next Review Date: 01.01.2026

Approved By:

FIRST QUALITY KNITSS
SF No. 87, Konakkadu Thottam,
Arivoli Nagar, Naranapuram (PO),
Palladam (TK), TIRUPUR - 641 664,
GSTIN : 33AAJFF0223M1ZR



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EMPLOYEE ACKNOWLEDGMENT & COMMITMENT

I acknowledge that I have received, read, and understood the Ethical Conduct Policy of First Quality Knitss. I agree to uphold the principles outlined in the policy, including the prevention of corruption, responsible conflict of interest management, fraud prevention, compliance with anti-money laundering regulations, and protection of information security.

I understand that it is my responsibility to follow this policy in all professional activities and to report any ethical concerns or violations through the designated reporting channels. I am aware that any non-compliance may result in disciplinary action in accordance with company procedures.

By signing this acknowledgment, I affirm my commitment to integrity, transparency, and ethical behaviour in every aspect of my role at First Quality Knitss.

Employee Name

: Pandli. M

Employee ID

: 2848

Date

: 27/01/2025

Signature

: M. Pandli